Germany (:)

Q3 2026 Gambling Market & Regulatory Brief · Published 26 Oct 2026 (Q3-26 Destatis/BMF cash tax data; GGL Marktmonitor Q2-26 and Tätigkeitsbericht 2025 as market base) · Currency EUR (tables in € millions unless stated; ~USD at an ASSUMED EUR/USD 1.17 — see confidence note)

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THE ONE-LINE VERDICT

Germany's Q3-26 gambling tax take rose 11% YoY to €622.1m (~$728m), but the shape — July +26%, August +12.5%, September implied ~−3% — says this is a World Cup timing effect on a 5.3%-of-stakes tax, not a step-change in underlying demand. The regulated market is large (€14.4bn GGR in 2025, flat) yet only ~24% online, with online growth (stakes +9–10% in H1-26) bought under a turnover-tax and €1-stake regime that compresses margins and leaks 23–80% of casino play offshore depending on whose study you believe. The GlüStV 2021 evaluation due 31 Dec 2026 and the 2027 licence-renewal cycle are the swing factors for anyone deciding to enter.

Q3-26 GAMBLING TAX (RENNWLOTTG CASH RECEIPTS)	9M-26 GAMBLING TAX	Q2-26 REGULATED STAKES (GGL-LICENSED PRODUCTS)	FY-25 REGULATED MARKET GGR	FY-25 ONLINE SLOTS GGR	ONLINE CHANNELISATION (LEGAL SHARE OF ONLINE STAKES)
€622.1m (~$728m)	**€1,901m (~$2.22bn)**	**€3,624m (~$4.24bn)**	**€14.4bn (~$16.8bn)**	**€543m (~$635m)**	**77.0%**
+11.0% YoY vs ~€560.5m	~+4% YoY (implied); BMF FY-26 est. €2,510m	−5.7% QoQ; online 86% of stakes	flat YoY; online €3.5bn (+2%) = ~24%	+11% YoY on €4.6bn stakes (11.8% hold)	23.0% unlicensed (study, 16 Mar 2026)

1 EXECUTIVE SUMMARY

- **Headline: gambling tax +11% in Q3-26.** Cash receipts of the Rennwett- und Lotteriesteuer family (lottery tax, sports betting tax, virtual slot tax, online poker tax, horse-race betting tax — federal law, revenue accrues to the Länder) reached €622.1m (~$728m) in Jul–Sep 2026 vs ~€560.5m (~$656m) a year earlier, +€61.6m (~$72m). Corroborated across Gaming Intelligence and Mundovideo, both citing Destatis/BMF cash data.
- **The monthly shape is a World Cup artefact, not a trend break.** BMF monthly data: July €209m (~$245m, +26%), August €219m (~$256m, +12.5%); September is therefore implied at ~€194m (~$227m), roughly −3% YoY (derived from rounded figures). The 5.3% stake taxes are filed monthly on the prior month's stakes, so July cash largely captures June World Cup 2026 betting (tournament 11 Jun–19 Jul). Underlying ex-event growth is low-to-mid single digit.
- **9M-26 tax €1,901m (~$2.22bn), ~+4% YoY implied.** Q1 €632.3m (~$740m, slightly down YoY per trade press), Q2 €647.0m (~$757m), Q3 €622.1m. BMF reported Jan–Aug at €1,708m (~$2.00bn, +5.2%). FY-25 was €2.46bn (~$2.88bn, −1%) after €2.48bn in FY-24; the official BMF 2026 estimate of €2,510m (~$2.94bn, +1.9%) now looks conservative — Q4 need only reach ~€609m (−4% YoY) to hit it.
- **Tax base is TURNOVER, not GGR — the defining economic feature.** RennwLottG (as amended 2021): sports betting 5.3% of stakes; virtual slots 5.3% of stakes; online poker 5.3% of stakes; horse-race betting 5.3% of stakes; lotteries 20% of ticket price net of tax (≈16.7% of gross ticket). At the 2025 virtual-slot hold of 11.8% this equates to ~45% of GGR; at the reported 22.8% sports-betting hold it is ~23% of GGR. Online casino table games (Land-level), Spielbanken (Land casino levy) and gaming halls (municipal amusement tax + VAT) sit outside this line.
- **Lottery dominates the tax line.** Applying 5.3% to GGL-reported stakes gives ~€204m (Q1-26) and ~€192m (Q2-26) from sports/slots/poker/horse; the residual ~€429m (~$502m) and ~€455m (~$532m) — ~68–70% of receipts — is lottery tax (derived estimate; Destatis product split not available in sources read).
- **Market size: €14.4bn (~$16.8bn) GGR in 2025, flat YoY** (GGL Tätigkeitsbericht 2025, relayed). Land-based €10.9bn (~$12.8bn, ~75%); online €3.5bn (~$4.1bn, +2%) — online penetration ~24%, low for a large Western European market. All gambling taxes and levies (incl. Spielbankabgabe, lottery concession levies) totalled €6.9bn (~$8.1bn, −1%), of which licensed operators' RennwLottG contribution was €2.46bn (−1%).
- **Online product mix (2025 GGR).** Sports betting €1.89bn (~$2.21bn, −4%) on €8.3bn (~$9.7bn) stakes, football 77% of activity, live betting 53% of wagers; virtual slots €543m (~$635m, +11%) on €4.6bn (~$5.4bn) stakes; online poker rake €69m (~$81m, −0.7%); online horse betting €19m (~$22m, +5%); social lotteries €807m (~$944m), online portion €444m (~$519m, +11%).
- **2026 stakes momentum is stronger than 2025 GGR suggests.** GGL Marktmonitor: Q1-26 stakes €3,842m (~$4.50bn, +9.4% vs €3,513m), online €3,220m (84%, +10.0%); Q2-26 €3,624m (~$4.24bn), online €3,111m (86%). H1-26 ≈ €7,466m (~$8.7bn). Sports betting Q1 €2,431m (+11.6%), slots €1,201m (+9.3%), poker €186m (−11.4%), online horse €23m.
- **Retail sports betting is a shrinking niche.** Retail stakes fell from €622m (~$728m) in Q1-26 to €512m (~$599m) in Q2-26, i.e. 25.6% → 23.0% of sports stakes; online sports stakes €1,809m → €1,711m. Retail shops are Land-licensed with distance rules and carry the same 5.3% stake tax.
- **Licensing regime: GlüStV 2021 + GGL.** The Interstate Treaty (in force 1 Jul 2021) centralised online licensing in the Gemeinsame Glücksspielbehörde der Länder (Halle/Saale; full competence since 1 Jan 2023). Licence types: sports betting (online/retail), virtual slots, online poker, online lottery brokerage, social/class lotteries; online table games are reserved to each Land (Schleswig-Holstein live; NRW process [unverified]). Security deposit €5m (~$5.9m), scalable to €50m (~$58.5m) [statutory, from analyst reference]. In 2025 LUGAS processed data from >60 licensed operators and ~5m registered player accounts.
- **Product and player-protection constraints are the tightest in Western Europe.** €1 (~$1.17) maximum stake per spin, ≥5-second spin, no autoplay, no jackpots, no live casino under the federal regime; €1,000 (~$1,170)/month cross-operator deposit cap enforced through LUGAS limit and activity files (no parallel play); OASIS self-exclusion; panic button; 06:00–21:00 broadcast/online ad ban for slots and poker; no sports-betting ads with active athletes or during live broadcasts [GlüStV §§5–8, 22a from analyst reference].
- **Channelisation is contested and vertical-specific.** A study reported 16 Mar 2026 put legal share at 77.03% / unlicensed 22.97% of online play;

industry associations count 382 German-language illegal sites against 34 licensed platforms and cite 70–80% offshore leakage in casino/slots. GGL enforcement 2025: 2,662 illegal gambling/advertising sites reviewed, 1,843 (69%) taken down. The turnover tax and €1 stake cap are the structural cause.

- **Operator landscape — no official share data.** GGL does not publish operator shares. Principal licensed brands (analyst reference, shares n/a): sports — Tipico (market leader), bet365, bwin (Entain), Betano, Interwetten, Admiral (Novomatic), Merkur Bets (Gauselmann), Betway, Winamax; slots — Merkur, Löwen Play, Tipico Games, bwin, LeoVegas, Wildz; lottery brokerage — ZEAL (Lotto24/Tipp24; 9M-26 revenue near €200m per trade press), Lottoland; state lotteries via the 16-member Deutscher Lotto- und Totoblock (monopoly).
- **Payments: bank-rail market, no crypto.** Licensed sites run on SEPA transfer, Sofort/Klarna, PayPal, paysafecard and cards; crypto and credit extension are not permitted; the GGL can order payment-service providers to block flows to unlicensed operators (§9 GlüStV). Deposit caps and KYC at registration make payment friction a conversion cost versus offshore sites [regime description, not quantified].
- **Political direction: evaluation, then slow consensus.** §32 GlüStV requires the Länder to evaluate the treaty by 31 Dec 2026; the treaty runs to 31 Dec 2028 with automatic extension unless terminated [analyst reference]. Any amendment needs all 16 Landtage. Live agenda: stake/deposit limits, live-betting scope, nationwide table-game licences, tax base (industry lobbies for GGR), enforcement against offshore, and player-reimbursement litigation for the pre-2021 period (BGH/CJEU track; status [unverified]). Christian Hochgrebe chairs the GGL Administrative Board since 1 Jul 2026.
- **Fiscal dependence anchors conservatism.** The state took €6.9bn in gambling taxes and levies in 2025 — mostly lottery and Spielbank levies — which protects the Lotto monopoly and makes the Länder reluctant to trade a reliable turnover tax for a GGR tax that would favour operators.
- **Read-through for B2Tech.** Germany is a large, stable, lottery-heavy market where the addressable online pool for a private operator (sports + slots + poker) is ~€2.5bn GGR and growing low-to-mid single digits in GGR, high single digits in stakes. Economics are gated by the 5.3% stake tax and marketing restrictions, so scale, pricing discipline and low bonus intensity matter more than acquisition spend; a B2B supply model (GGL-compliant content/platform to licensed operators) carries less regulatory beta than B2C entry. Time any B2C move to the 2027 licence-renewal window and the post-evaluation rule-set.

2 MARKET SUMMARY

GERMANY — € MILLIONS (~USD AT 1.17)	VALUE	PERIOD	YOY	COMPARATOR	BASIS / SOURCE
GAMBLING TAX RECEIPTS (RENNWETT- UND LOTTERIESTEUER FAMILY)					
Q3-26 total	**622.1 (~$728m)**	**Jul–Sep 26**	**+11.0%**	**560.5 (~$656m)**	**Destatis/BMF cash data via GI, Mundovideo**
July 2026	209 (~$245m)	Jul-26	+26%	~166 (derived)	BMF Monatsbericht
August 2026	219 (~$256m)	Aug-26	+12.5%	~195 (derived)	BMF Monatsbericht Sep-26
September 2026 (implied)	~194 (~$227m)	Sep-26	~−3% (implied)	~200 (derived)	Derived from rounded data — [estimate]
Q1-26 / Q2-26	632.3 / 647.0	Q1 / Q2-26	Q1 slightly down; Q2 n/a	n/a	Trade press citing Destatis
9M-26 total	**1,901.4 (~$2.22bn)**	**Jan–Sep 26**	**~+4.3% (implied)**	**~1,823 (derived)**	**Sum of quarters; Jan–Aug per BMF 1,708 (+5.2%)**
FY-25 / FY-24	2,460 (~$2.88bn) / 2,480	FY	−1% / n/a	—	GGL Tätigkeitsbericht 2025 (relayed); trade press
BMF official FY-26 estimate	2,510 (~$2.94bn)	FY-26E	+1.9%	2,460	BMF Steuerschätzung line in Monatsbericht
All gambling taxes & levies (incl. Spielbank, lottery levies)	6,900 (~$8.1bn)	FY-25	−1%	n/a	GGL Tätigkeitsbericht 2025 (relayed)
MARKET SIZE — GGR (GGL TÄTIGKEITSBERICHT 2025)					
Total regulated GGR	**14,400 (~$16.8bn)**	**FY-25**	**flat**	**14,400**	**GGL (relayed)**
Land-based GGR (Spielhallen, Spielbanken, retail lottery/betting)	10,900 (~$12.8bn)	FY-25	n/a	~75% of total	GGL (relayed)
Online GGR (online penetration ~24%)	3,500 (~$4.1bn)	FY-25	+2%	n/a	GGL (relayed)
Sports betting GGR / stakes	1,890 (~$2.21bn) / 8,300	FY-25	−4% / n/a	hold 22.8% (implied)	GGL (relayed); online+retail
Virtual slots GGR / stakes	543 (~$635m) / 4,600	FY-25	+11% / n/a	hold 11.8% (implied)	GGL (relayed)
Online poker rake / online horse betting / social lotteries	69 / 19 / 807 (online 444)	FY-25	−0.7% / +5% / online +11%	n/a	GGL (relayed)
STAKES — GGL MARKTMONITOR (SPIELEINSÄTZE, GGL-LICENSED PRODUCTS)					
Q1-26 total / online	3,842 (~$4.50bn) / 3,220 (84%)	Q1-26	+9.4% / +10.0%	3,513 / 2,928	GGL Marktmonitor (relayed)
Q2-26 total / online	3,624 (~$4.24bn) / 3,111 (86%)	Q2-26	n/a	n/a	GGL Marktmonitor (relayed)
Q3-26 stakes	n/a	Q3-26	n/a	n/a	GGL Q3 Marktmonitor not yet published
TAX REGIME (RENNWLOTTG; BASE EXPLICIT)					
Sports betting / virtual slots / online poker / horse-race betting	5.3% of STAKES (turnover)	since 1 Jul 2021	no change	—	RennwLottG (federal); revenue to Länder
Lotteries	20% of ticket price net of tax (≈16.7% gross)	standing	no change	—	RennwLottG
Online table games / Spielbanken / gaming halls	Land casino levy / Spielbankabgabe / municipal Vergnügungssteuer + VAT	standing	n/a	—	Land & municipal law — rates n/a
LICENSING & MARKET STRUCTURE					
Regulator	GGL, Halle (Saale)	full competence 1 Jan 2023	—	—	GlüStV 2021
LUGAS-connected licensed operators / registered players	>60 / ~5m accounts	2025	n/a	—	GGL via trade press
Licensed virtual-slot platforms vs illegal DE-language sites	34 vs 382	2025/26	n/a	—	Industry-association count (relayed) — [not GGL]
Online channelisation (legal share)	77.03% (22.97% unlicensed)	study 16 Mar 2026	n/a	Industry claims 70–80% offshore in casino	Study relayed via trade press
Security deposit per licence	€5m (~$5.9m), up to €50m (~$58.5m)	standing	—	—	GlüStV §4c [analyst reference]
Licence fee / duration	n/a (fee scaled to projected stakes, §9a GlüStV); first slot/poker licences 2022 → renewals ~2027 [unverified]	—	—	—	Not verified in session

3 DEEP-DIVE — SPORTS BETTING (ONLINE & RETAIL)

Largest private vertical (€1.89bn GGR 2025, −4%) with stakes re-accelerating in 2026 (+11.6% Q1) and a World Cup bump in Q3 tax; 5.3% stake tax equals ~23% of GGR at the reported hold.

2025 MARKET SIZE

Largest private vertical with €1.89bn GGR in 2025 (−4%) on €8.3bn stakes; implied 22.8% hold is likely an upper bound.

- GGL 2025 stakes €8.3bn (~$9.7bn), GGR €1.89bn (~$2.21bn), down 4% in a year without a major summer tournament.
- Football accounted for 77% of activity; live (in-play) betting for 53% of wagers.
- Implied hold of 22.8% is well above the 15–20% typical of mature European books.
- Bruttospielertrag definition (stakes minus winnings, before bonus cost, 5.3% tax deducted from stakes/winnings) likely inflates the figure versus operator NGR [interpretation, unverified].

2026 DEMAND RE-ACCELERATION

Q1-26 stakes rose 11.6% to €2,431m; retail share fell from 25.6% to 23.0% in a quarter as online migration continues.

- Q1-26 stakes €2,431m (~$2.84bn), +11.6% on €2,179m: €1,809m online, €622m retail.
- Q2-26 stakes €2,223m (~$2.60bn): €1,711m online, €512m retail.
- Retail migration reinforced by Land-level shop licensing with minimum-distance rules.
- Q3-26 stakes not yet published; GGL Marktmonitor typically lags six to eight weeks.

WORLD CUP Q3 BUMP

July tax receipts of €209m (+26%) point to a strong double-digit but unquantified World Cup uplift in sports stakes.

- July receipts €209m (+26%) across all RennwLottG taxes imply a sharp June/early-July surge, consistent with FIFA World Cup 2026 (11 Jun–19 Jul).
- If the full +€61.6m Q3 tax delta came from sports betting alone it would imply ~+€1.2bn incremental stakes (+~50%).
- True figure is lower because slots (+9–10%) and lottery jackpots also contributed.

TAX ECONOMICS

The 5.3% stake tax is ~23% of GGR at 23% hold and ~29% at 18% hold, payable even in losing months.

- Sportwettensteuer is 5.3% of stakes regardless of licence status or margin — a losing month still pays.
- Derived receipts ~€129m (~$151m) Q1-26 and ~€118m (~$138m) Q2-26; ~€450–500m annualised (estimate; Destatis product split not retrieved).
- Ban on advertising with active athletes and in-play advertising during live broadcasts, plus live-betting catalogue restrictions (final result and next-event markets) [analyst reference].
- Regime rewards incumbents with brand recall — Tipico, bet365, bwin, Betano, Interwetten — and penalises bonus-led acquisition.

CHANNELISATION AND ENTRY

Sports betting channelises materially better than casino and is the credible front door, but retail at 23% and falling is not where to deploy capital.

- Tax applies to every bet taken from Germany; licensed brands dominate search and sponsorship; product gap to offshore (odds, live markets) is narrower than the slot gap.
- Entry requires differentiated pricing or live content, a lean cost base, and a retail strategy limited to selective Länder.

OUTLOOK

Analyst estimates FY-26 stakes of €9.0–9.3bn (+8–12%) on World Cup and online migration; the GGL does not guide.

- GGR growth expected below stake growth if hold normalises after an operator-friendly tournament.
- Q4 Bundesliga/Champions League schedule and no major tournament in 2027 point to mid-single-digit stake growth next year (estimate).

SPORTS BETTING — € MILLIONS	Q2-26	QOQ	Q1-26	Q1 YOY	FY-25	FY YOY
Total stakes	**2,223 (~$2.60bn)**	**−8.6%**	**2,431 (~$2.84bn)**	**+11.6%**	**8,300 (~$9.7bn)**	**n/a**
Online stakes	1,711 (~$2.00bn)	−5.4%	1,809 (~$2.12bn)	n/a	n/a	n/a
Retail stakes	512 (~$599m)	−17.7%	622 (~$728m)	n/a	n/a	n/a
Retail share of stakes	23.0%	−2.6pp	25.6%	n/a	n/a	n/a
GGR (GGL Bruttospielertrag)	n/a	n/a	n/a	n/a	1,890 (~$2.21bn)	−4%
Implied hold (GGR/stakes)	n/a	n/a	n/a	n/a	22.8%	n/a
Football share / live share of wagers	n/a	n/a	n/a	n/a	77% / 53%	n/a
Implied sports-betting tax at 5.3% of stakes (est.)	~118 (~$138m)	−8.6%	~129 (~$151m)	+11.6%	~440 (~$515m)	n/a
Tax base / rate	5.3% of stakes	—	5.3% of stakes	—	5.3% of stakes	no change

4 DEEP-DIVE — ONLINE CASINO: VIRTUAL SLOTS, POKER AND TABLE GAMES

Slots are the growth engine (GGR +11% to €543m in 2025; stakes +9% in 2026) but a 5.3% turnover tax at 11.8% hold is ~45% of GGR, poker is shrinking (stakes −11%), and table games remain Land-fragmented.

VIRTUAL SLOTS

Slots are the only large online vertical growing double-digit: 2025 GGR €543m (+11%), with 2026 stakes up 9%.

- GGL 2025 (relayed) GGR €543m (~$635m), +€53m or +11% YoY, on stakes €4.6bn (~$5.4bn); implied hold 11.8%.
- €1 per-spin cap and ≥5-second spin force low-volatility, ~88–90% RTP games.
- Q1-26 stakes €1,201m (~$1.41bn, +9.3% on €1,099m); Q2-26 €1,214m (~$1.42bn), the only product growing sequentially into the weaker second quarter.
- Annualised Q2 stakes ~€4.9bn point to FY-26 slots GGR of ~€570–590m (estimate) if hold is stable.

ONLINE POKER

Licensed poker is in structural decline: 2025 rake €69m (−0.7%) and Q1-26 stakes −11.4% to €186m.

- 2025 rake €69m (~$81m, −0.7%); Q1-26 stakes €186m (~$218m, −11.4% on €210m); Q2-26 €158m (~$185m).
- 5.3% tax on buy-ins and prohibition on cross-border liquidity make licensed poker uncompetitive with offshore pools.
- A retention product for sportsbook/slots operators, not a standalone opportunity.

TAX BURDEN AND OFFSHORE LEAKAGE

The slots levy equals ~45% of GGR, higher than any GGR-based online casino tax in Western Europe, driving a large offshore market.

- Derived receipts ~€64m (~$75m) per quarter for slots and ~€8–10m for poker; roughly €290m annualised (estimate).
- Tax payable irrespective of bonus cost, so effective tax on net revenue after promotions is higher still.
- Regulated offer: €1 stake, no jackpots, no autoplay, no live dealer, €1,000/month cross-operator deposit cap via LUGAS, no parallel play.
- Study reported 16 Mar 2026 put unlicensed share at 22.97% of all online play; industry associations argue 70–80% of casino/slot activity sits offshore, 382 German-language illegal sites versus 34 licensed platforms.
- Both can be true — channelisation is high in sports betting and low in casino.

TABLE GAMES

Table games are not federally licensed; the opportunity is a Land-by-Land tender game with small prize pools.

- Under GlüStV §22c each Land may license online table games, capped at its number of land-based Spielbank concessions.
- Schleswig-Holstein operates its own regime; North Rhine-Westphalia has moved to license a limited number of operators [status unverified in this session].
- Nationwide, the only legal online 'casino' product for a B2C entrant is virtual slots plus poker.

ENFORCEMENT AND POSITIONING

GGL removed access to 1,843 of 2,662 illegal sites reviewed in 2025 (69%); enforcement is improving but limited.

- Tools are payment blocking (§9 GlüStV), app-store and search delisting, and prohibition orders; Saxony-Anhalt court rulings have constrained ISP-level IP blocking [analyst reference, unverified].
- A licensed slots operator competes on trust, speed of payout and cross-sell from sports rather than on RTP or bonus value.
- A B2B studio needs a GGL-compliant catalogue (€1 stake, 5-second cycle, no jackpot/autoplay) and LUGAS-ready integration to sell into the >60 licensed operators.
- A defensible niche precisely because global content is not plug-and-play here.

ONLINE CASINO — € MILLIONS	Q2-26	QOQ	Q1-26	Q1 YOY	FY-25	FY YOY
Virtual slots stakes	**1,214 (~$1.42bn)**	**+1.1%**	**1,201 (~$1.41bn)**	**+9.3%**	**4,600 (~$5.4bn)**	**n/a**
Virtual slots GGR	n/a	n/a	n/a	n/a	543 (~$635m)	+11%
Implied slots hold	n/a	n/a	n/a	n/a	11.8%	n/a
Implied slots tax at 5.3% of stakes (est.)	~64 (~$75m)	+1.1%	~64 (~$75m)	+9.3%	~244 (~$285m)	n/a
Slots tax as % of GGR (est.)	n/a	n/a	n/a	n/a	~45%	n/a
Online poker stakes	**158 (~$185m)**	**−15.1%**	**186 (~$218m)**	**−11.4%**	**n/a**	**n/a**
Online poker rake (GGR)	n/a	n/a	n/a	n/a	69 (~$81m)	−0.7%
Implied poker tax at 5.3% of stakes (est.)	~8 (~$10m)	−15.1%	~10 (~$12m)	−11.4%	n/a	n/a
Online table games / live casino	Land-level only (SH; NRW [unverified])	—	—	—	n/a	n/a
Licensed slot platforms vs illegal DE sites (industry count)	34 vs 382	—	—	—	—	—
Illegal sites reviewed / removed by GGL	n/a	—	n/a	—	2,662 / 1,843 (69%)	n/a

5 DEEP-DIVE — LOTTERY, SOCIAL LOTTERIES AND LAND-BASED (SPIELBANKEN, GAMING HALLS)

Three-quarters of the €14.4bn market is land-based and the state lottery monopoly supplies ~70% of the RennwLottG tax line; private access is limited to online brokerage and social-lottery distribution.

LAND-BASED MARKET

Land-based generated €10.9bn of the €14.4bn regulated GGR in 2025 (~75%) and is flat-to-declining while online took all growth.

- €10.9bn (~$12.8bn) of €14.4bn (~$16.8bn) spans gaming halls (Gauselmann/Merkur and Novomatic/Löwen devices), Land-concessioned Spielbanken, and 16 state lottery retail networks.
- Land Spielhallen laws impose minimum distances and device caps; online took the entire 2% of market growth.
- State's wider take was €6.9bn (~$8.1bn) in 2025 including Spielbankabgabe and lottery concession levies, explaining Länder protectiveness toward the lottery monopoly.

LOTTERY TAX WEIGHT

Lottery supplies 68–70% of the RennwLottG tax line, ~€1.7bn annualised, on an implied ~€10bn gross sales base.

- Residual lottery tax ~€429m (~$502m) in Q1-26 and ~€455m (~$532m) in Q2-26 after deducting 5.3% stake taxes (derived estimate).
- Lottery tax is 20% of ticket price net of tax (≈16.7% of gross ticket), implying ~€10bn annual sales across Lotto 6aus49, Eurojackpot, class and social lotteries (estimate).
- Jackpot cycles, not operator behaviour, drive quarterly swings.

PRIVATE LOTTERY SLICES

Social lotteries produced €807m GGR in 2025 with online up 11% to €444m; brokerage is licensed but low-margin.

- Q1-26 stakes: class lotteries €54m (~$63m), social lotteries €328m (~$384m), combined €382m; online brokerage €258m (~$302m).
- Social lotteries (Deutsche Fernsehlotterie, Aktion Mensch and peers) GGR €807m (~$944m), online portion €444m (~$519m), +11%.
- ZEAL (Lotto24/Tipp24) reported 9M-26 revenue approaching €200m per trade press.
- Secondary 'bet-on-lottery' products are not permitted, closing Germany to the Lottoland model.

STRATEGIC RELEVANCE

Lottery and land-based matter only as the fiscal reason for a conservative regime and as an already-consolidated brokerage adjacency.

- Gaming-hall economics (municipal amusement tax plus VAT on top of device limits) and Spielbank concessions (Land tenders, levies exceeding half of GGR) are closed or capital-intensive.
- These segments sit outside B2Tech's online competence.

LOTTERY & LAND-BASED — € MILLIONS	Q2-26	QOQ	Q1-26	Q1 YOY	FY-25	FY YOY
Land-based GGR (all channels)	**n/a**	**n/a**	**n/a**	**n/a**	**10,900 (~$12.8bn)**	**n/a**
Share of total regulated GGR	n/a	n/a	n/a	n/a	~75%	n/a
Social lotteries GGR / of which online	n/a	n/a	n/a	n/a	807 (~$944m) / 444 (~$519m)	n/a / +11%
Class lotteries stakes	n/a	n/a	54 (~$63m)	n/a	n/a	n/a
Social lotteries stakes	n/a	n/a	328 (~$384m)	n/a	n/a	n/a
Commercial online lottery brokerage stakes	n/a	n/a	258 (~$302m)	n/a	n/a	n/a
Implied lottery tax (residual, est.)	~455 (~$532m)	+6%	~429 (~$502m)	n/a	~1,700 (~$2.0bn) est.	n/a
Lottery tax share of RennwLottG receipts (est.)	~70%	+2pp	~68%	n/a	n/a	n/a
All gambling taxes & levies (state take)	n/a	n/a	n/a	n/a	6,900 (~$8.1bn)	−1%
Lottery tax base / rate	20% of ticket price net of tax (≈16.7% gross)	—	—	—	—	no change

6 DEEP-DIVE — LICENSING, TAX AND ENFORCEMENT REGIME

A centralised online licensing regime (GGL) layered on a federal turnover tax and 16 Land-level land-based regimes; the §32 evaluation due 31 Dec 2026 and the 2027 renewal cycle set the next rule-set.

LEGAL ARCHITECTURE

Three tiers: GlüStV 2021 and the GGL for online, federal RennwLottG for tax, and Land law for land-based; §32 evaluation due 31 Dec 2026.

- Treaty in force 1 July 2021; GGL in Halle (Saale) has held full online competence since 1 January 2023, funded by the Länder.
- Federal RennwLottG sets taxes with revenue accruing to the Länder; Land law governs Spielbanken, gaming halls, retail betting shops and §22c online table games.
- Treaty runs to 31 December 2028 with automatic extension unless terminated [treaty provisions from analyst reference].
- Christian Hochgrebe chaired the GGL Administrative Board from 1 July 2026; executive board is Ronald Benter and Benjamin Schwanke.

LICENCE MECHANICS

Per-product GGL licences require a €5m deposit scalable to €50m, LUGAS/OASIS connection and audited reporting; a 2027 renewal wave is implied.

- Security deposit €5m (~$5.9m), raisable to €50m (~$58.5m) with stakes; EU-based servers and regulator data access; safety concept [analyst reference, not re-verified].
- German-language offer with segregated player accounts; administrative fee on projected annual stakes (§9a); annual audited reporting.
- Licence duration and fee tariff could not be verified; first slot and poker licences issued 2022 implies renewal from 2027 [unverified].
- In 2025 LUGAS processed data from more than 60 licensed operators and roughly five million registered accounts.

TAX REGIME

5.3% turnover tax unchanged since 1 July 2021 delivered €2.46bn in 2025; BMF estimates €2,510m for FY-26 (+1.9%).

- Sports betting, virtual slots, online poker and horse-race betting taxed at 5.3% of stakes, indifferent to margin, bonus cost or mix; lotteries pay 20% of ticket price net of tax.
- Receipts €2.46bn (~$2.88bn) in 2025 (−1%), €1,901m (~$2.22bn) in 9M-26 (~+4% implied), €622.1m (~$728m) in Q3-26 (+11%).
- Länder have no fiscal incentive to move to a GGR base; industry lobbying for a GGR tax has gone nowhere in five years.

ENFORCEMENT AND LITIGATION

2025 enforcement reviewed 2,662 illegal sites and removed 1,843; retrospective player-loss claims are a live liability for legacy grey-market operators.

- Tools: prohibition orders, payment blocking (§9), app-store and search delisting, co-operation with Land media authorities; ISP blocking constrained by Saxony-Anhalt courts [analyst reference].
- German courts have allowed players to reclaim losses from unlicensed pre-July 2021 operators; Federal Court of Justice referred EU-law compatibility to the CJEU [status unverified].
- An entrant with a legacy grey-market book should price this.

2027–28 DIRECTION

Analyst expects the evaluation to recommend incremental change only, with 2028 treaty expiry the realistic implementation date.

- Probable: modest relaxation of €1 stake and €1,000 deposit mechanics for verified high-affordability players, extended live-betting markets, stronger payment-blocking and influencer/affiliate rules.
- Encouragement — not a mandate — for more Länder to license table games.
- Improbable: switch to GGR taxation or a nationwide live-casino licence.
- Any amendment requires all 16 Landtage.

LICENSING & TAX — KEY PARAMETERS	PARAMETER	CURRENT RULE	BASE / RATE	CHANGE PENDING	SOURCE STATUS
Regulator	GGL, Halle (Saale); full competence 1 Jan 2023	—	Evaluation report due 31 Dec 2026	Board chair C. Hochgrebe (1 Jul 2026)	GlüStV §27a–f; trade press
Treaty term	GlüStV 2021 in force 1 Jul 2021; runs to 31 Dec 2028	—	Auto-extension unless terminated	Amendment needs 16 Landtage	Analyst reference [unverified in session]
Sports betting tax	**Sportwettensteuer**	**5.3% of stakes**	**None announced**	**—**	**RennwLottG**
Virtual slots tax	**Virtuelle Automatensteuer**	**5.3% of stakes (~45% of GGR at 11.8% hold)**	**None announced**	**—**	**RennwLottG; GGL data**
Online poker tax	Online-Pokersteuer	5.3% of stakes	None announced	—	RennwLottG
Horse-race betting tax	Rennwettsteuer	5.3% of stakes	None announced	—	RennwLottG
Lottery tax	Lotteriesteuer	20% of price net of tax (≈16.7% gross)	None announced	—	RennwLottG
Online table games	Land licences, capped at # of Spielbank concessions (§22c)	Land casino levy — n/a	NRW process [unverified]	SH live	Analyst reference
Security deposit	€5m (~$5.9m), scalable to €50m (~$58.5m)	—	—	—	GlüStV §4c [analyst reference]
Licence fee / duration	Fee scaled to projected stakes (§9a); duration n/a	n/a	2027 renewal wave [unverified]	—	Not verified in session
Tax receipts FY-25 / 9M-26 / Q3-26	€2,460m / €1,901m / €622.1m	−1% / ~+4% / +11%	BMF FY-26E €2,510m (+1.9%)	—	Destatis/BMF via trade press; BMF Monatsbericht
Enforcement 2025	2,662 sites reviewed; 1,843 removed (69%)	—	Payment blocking, delisting; ISP blocking constrained [unverified]	—	GGL via trade press

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING AND ADVERTISING

Bank-rail payments, a €1,000/month cross-operator deposit cap enforced centrally through LUGAS, and a 06:00–21:00 ad ban for slots/poker make Germany the most friction-heavy large market in Europe for customer acquisition.

PAYMENTS

Bank-rail payments with a €1,000/month cross-operator deposit cap checked in LUGAS create high KYC friction and a hard ceiling on VIP economics.

- Licensed sites accept SEPA, Sofort/Klarna, PayPal, paysafecard and cards; no crypto; no credit; every deposit checked against the LUGAS limit file.
- Default cap €1,000 (~$1,170) per month, raisable on proof of means to €10,000 and, for a small share, €30,000 [thresholds from analyst reference].
- GGL can direct payment providers to stop processing for unlicensed operators under §9 GlüStV — now its principal enforcement lever with delisting.
- Offshore sites' absence of these frictions is the main driver of leakage in casino.

RESPONSIBLE GAMBLING

Germany already has the hardest limits in Western Europe, lowering the probability of further tightening in the 2026 evaluation.

- LUGAS (on Dataport infrastructure) runs the limit file and an activity file preventing parallel play; OASIS is the nationwide exclusion register with a minimum exclusion period.
- One-click 'panic button' triggers 24-hour lockout; slots carry €1 (~$1.17) stake cap, ≥5-second spin, no autoplay, no jackpots; early-detection and reality checks required [analyst reference].
- In 2025 the system covered >60 operators and ~5m registered accounts.
- Neutralises the UK-style affordability debate and marginally raises the probability of selective loosening.

ADVERTISING

A 06:00–21:00 ad ban for slots/poker/casino and athlete and in-play restrictions leave sports sponsorship as the dominant channel, favouring incumbents.

- Advertising may not target minors or vulnerable groups; sports-betting ads may not feature active athletes or officials or run before/during live broadcasts of that event.
- GGL guidance restricts influencer/streamer promotion and bonus messaging [GlüStV §5 and GGL guidance, analyst reference].
- Incumbents benefit from existing Bundesliga and club deals.
- B2Tech's toolkit: search/affiliate within GGL rules, post-21:00 TV and streaming, sports sponsorship — all priced for scale players.

COMMERCIAL READING

Deposit cap, no parallel play, stake cap and daytime ad bans compress ARPU and acquisition efficiency; unit economics need low CAC and low cost base.

- Low CAC comes from organic brand or cross-sell from sports.
- Differentiation is constrained to UX, payout speed, odds and content curation within the €1/5-second envelope.
- A technology-led entrant can compete here, but not with a bonus-driven playbook.

PAYMENTS & RG — RULES AND METRICS	ITEM	RULE / VALUE	MECHANISM	CHANGE PENDING	SOURCE STATUS
Deposit limit (cross-operator)	**€1,000 (~$1,170) / month default**	**LUGAS limit file; raisable to €10k / €30k on proof**	**Evaluation 2026 may revisit**	**—**	**GlüStV §6c [analyst reference]**
Parallel play	Prohibited across licensed operators	LUGAS activity file	—	—	GlüStV [analyst reference]
Self-exclusion	OASIS national register; panic button 24h	Mandatory check at login	—	—	GlüStV §8 [analyst reference]
Virtual slots product limits	€1 (~$1.17)/spin; ≥5s spin; no autoplay; no jackpots	Licence condition	Industry seeks relaxation	—	GlüStV §22a
Live casino / table games (federal)	Not licensable federally; Land-level only	§22c	—	—	GlüStV
Payment methods	SEPA, Sofort/Klarna, PayPal, paysafecard, cards; no crypto; no credit	Operator T&Cs / GlüStV	—	—	Regime description [not quantified]
Payment blocking	GGL may order PSPs to block unlicensed flows	§9 GlüStV	Powers may be strengthened	—	Analyst reference
Advertising — slots/poker/casino	No broadcast/online ads 06:00–21:00	§5 GlüStV	—	—	Analyst reference
Advertising — sports betting	No active athletes/officials; no in-play ads during live broadcasts	§5 GlüStV; GGL guidance	Influencer rules tightened	—	Analyst reference
Registered player accounts / operators in LUGAS	~5m / >60	2025	—	—	GGL via trade press

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Scale with stability: €14.4bn (~$16.8bn) regulated GGR, €2.46bn (~$2.88bn) of RennwLottG tax from licensed operators, a treaty fixed to end-2028 and a single national online regulator — the rules will not swing on a single election. structural
- Online stakes are compounding faster than the flat GGR headline: Q1-26 total stakes +9.4% (online +10.0%), virtual slots +9.3% and sequentially up in Q2; slots GGR +11% in 2025 to €543m (~$635m). structural
- Event elasticity is proven: Q3-26 tax +11% with July +26% on World Cup 2026 betting — a licensed sportsbook with live content captures tournament demand at scale. one-off
- The §32 evaluation (due 31 Dec 2026) is the first formal window since 2021 to loosen the €1 stake, €1,000 deposit mechanics and live-betting catalogue — the regime is already at the tight end, so the skew of change is toward selective relaxation. early
- Retail-to-online migration continues (retail sports share 25.6% → 23.0% in one quarter), expanding the digital pool without new regulation. structural
- Sports-betting channelisation is high and reported hold is rich (22.8% on GGL definitions): a licensed sportsbook is the credible front door and cross-sell base for slots and poker. mixed
- B2B opportunity: content and platform must be GGL-specific (€1 stake, 5-second cycle, LUGAS/OASIS integration) — global catalogues are not plug-and-play, creating a defensible supply niche into >60 licensed operators. structural

▼ LOWLIGHTS

- Turnover tax: 5.3% of stakes on sports, slots, poker and horse betting is ~45% of GGR for slots at an 11.8% hold and ~23–30% for sports — payable on losing months and before bonus cost. No change proposed; the Länder's fiscal interest runs the other way. structural
- Product handicap versus offshore: €1 stake, 5-second spin, no jackpots/autoplay/live casino, €1,000 cross-operator deposit cap, no parallel play — the stated reason unlicensed share is 23% of online play (Mar-26 study) and, by industry estimates, 70–80% of casino/slot activity. structural
- Online table games and live casino are not federally licensable; access is Land-by-Land with small, tender-based licence counts (SH live; NRW [unverified]). structural
- Governance: any treaty amendment needs all 16 Landtage, and €6.9bn (~$8.1bn) of state levies anchored in the lottery monopoly make the Länder conservative — expect incremental change in 2028, not a liberalised regime in 2027. governance
- Q3 headline growth is flattered: September implied ~€194m (~$227m), ~−3% YoY; underlying ex-World Cup growth is low-to-mid single digit and online poker stakes are down 11–15%. one-off
- Legacy liability: player-reimbursement claims against operators that took German business pre-2021 without a German licence remain live in the courts (BGH/CJEU track, status unverified) — relevant to any partner or acquisition target. watch
- Data opacity: no official operator shares, the GGL Q3-26 Marktmonitor is not yet out, and the Destatis product split of the €622.1m was not retrievable — several figures in this brief are derived and flagged as such. watch

9 FORECAST & OUTLOOK

Guidance bridge. The official bridge is the BMF's 2026 estimate for the Rennwett- und Lotteriesteuer family — €2,510m (~$2.94bn), +1.9% on FY-25's €2,460m (~$2.88bn) — against a 9M-26 actual of €1,901m (~$2.22bn), ~+4% implied. Q3's +€61.6m (~$72m) was driven by sports betting (World Cup timing) and virtual slots (+9–10% stakes), partly offset by online poker (stakes −11% to −15%) and a flat lottery base. Q4 needs only ~€609m (−4% YoY) to meet the BMF number; on a flat Q4 (~€636m implied for Q4-25) FY-26 lands at ~€2.54bn (~$2.97bn), and with modest slots growth ~€2.54–2.57bn (+3–4%) — our estimate, not an official figure.

FY-25 ACTUAL (RENNWLOTTG RECEIPTS)	9M-26 VS 9M-25 (Q3 +€62M, H1 + €16M)	Q4-26E (FLAT TO +3% YOY ON Q4-25 ~€636M)	FY-26E VS BMF OFFICIAL €2,510M
€2,460m (~$2.88bn)	**+€78m (~$91m)**	**€636–655m (~$744–766m)**	**€2,540–2,560m (~$2.97–3.00bn)**
−1% YoY	~+4.3% implied	estimate	+3% to +4% (est.)

Independent view. Market: we expect regulated online GGR to grow 3–5% a year through 2027 (estimate) — slots high single digit, sports betting mid single digit ex-tournaments, poker negative — with stakes growing faster than GGR as the €1/5-second format keeps hold low; land-based flat to −2%. Online penetration drifts from ~24% toward ~26–27% by 2027 (estimate). **Tax:** the 5.3% turnover base stays; no Land has a reason to give up a tax that also captures unlicensed operators. Receipts track stakes, so FY-27 receipts ~+2–4% absent a tournament (estimate). **Rules:** the §32 evaluation (due 31 Dec 2026) will frame a GlüStV amendment package for 2027 negotiation and 2028 implementation: likely selective relaxation of deposit-raise procedures and live-betting markets, tighter affiliate/influencer and payment-blocking provisions, and a nudge toward more Land table-game licences; unlikely a GGR tax or federal live casino. **Enforcement** intensifies on payments and app stores rather than ISP blocking. **Leverage/entry:** for B2Tech, the risk-adjusted path is B2B supply first (GGL-compliant content, LUGAS-ready platform) and, if B2C, a sportsbook-led entry timed to the 2027 renewal window with slots as cross-sell; retail and table games are not where to deploy capital.

What to watch next quarter:

- GGL Q3-26 Marktmonitor (expected Nov 2026): size of the World Cup sports-stake spike and whether slots stakes stayed >€1.2bn/quarter.
- Destatis/BMF product-level split of the €622.1m and the October/November monthly prints — confirms whether September's implied ~−3% is a trend or rounding.
- §32 GlüStV evaluation report (due 31 Dec 2026) and the Minister-Presidents' conference response in H1-27 — the agenda on stake/deposit limits, live betting, table games and tax base.
- 2027 renewal cycle for the first virtual-slot and poker licences [timing unverified] — fee tariff, security-deposit scaling and any new conditions.
- Land table-game licensing: NRW tender outcome and whether Bavaria, Hesse or Lower Saxony follow Schleswig-Holstein.
- BGH/CJEU track on player-reimbursement claims against formerly unlicensed operators — liability read-across for partners and M&A targets.
- Channelisation methodology dispute (77% legal study vs industry 70–80% offshore in casino) and GGL payment-blocking/enforcement statistics for 2026.
- FX: refresh all ~USD figures at the actual EUR/USD rate before circulation (1.17 assumed here).

DATA CONFIDENCE: MEDIUM FX: EUR/USD 1.17 ASSUMED — the 26 Oct 2026 spot could not be retrieved because the research-tool quota was exhausted mid-session; all ~USD figures are indicative and must be refreshed. Verified across two independent reports (Gaming Intelligence; Mundovideo, both citing Destatis/BMF cash data): Q3-26 €622.1m, +11%, Q3-25 ~€560.5m; July €209m (+26%) and August €219m (+12.5%) from the BMF Monatsbericht (extract). September (~€194m, ~−3%), 9M-25 and all 'implied tax by product' and 'lottery residual' figures are DERIVED from rounded data and labelled as estimates. GGL Tätigkeitsbericht 2025 (market GGR €14.4bn, slots €543m, sports €1.89bn, enforcement counts) and Marktmonitor Q1/Q2-26 stakes were obtained via trade-press relays, not the GGL PDFs — primary GGL pages were not retrievable in session. The Destatis product split of the Q3 tax, operator market shares, licence fee tariff, licence durations/renewal timing, NRW table-game status, the Saxony-Anhalt IP-blocking rulings and the CJEU reimbursement case status could NOT be verified and are flagged [unverified] or n/a. Statutory rules (tax rates, €1 stake, €1,000 deposit cap, ad windows, §32 evaluation, treaty term) are cited from the RennwLottG/GlüStV 2021 as known to the analyst and consistent with the sources read, but the legislation text was not fetched in session.

Sources: [Secondary] Gaming Intelligence — 'German gambling tax revenue grows by 11% in Q3 2026' (26 Oct 2026; paywalled, headline/standfirst only); [Secondary] Mundovideo — 'Germany collects €622 million in gambling taxes: up 11%' (27 Oct 2026; relays Destatis/BMF monthly data and GGL Q2-26 Marktmonitor stakes); [Secondary] Mundovideo — 'Germany nears €7.5 billion in gambling turnover in six months' (18 Aug 2026; relays GGL Marktmonitor Q1-26 and Q1/Q2 tax receipts, channelisation study, LUGAS metrics); [Secondary] Mundovideo — 'Germany's online slots market climbs to €543 million' (8 Jul 2026; relays GGL Tätigkeitsbericht 2025 market, product and enforcement figures); [Primary] Bundesministerium der Finanzen — Monatsbericht September 2026, 'Steuereinnahmen im August 2026' (Rennwett- und Lotteriesteuer: Aug €219m +12.5%; Jan–Aug €1,708m +5.2%; FY-26 estimate €2,510m +1.9%) — table extract via search; page itself not fetchable; [Primary] Bundesministerium der Finanzen — Monatsbericht Oktober 2026 (publication page; 'Steuereinnahmen im September 2026' — July €209m +26% cited via Mundovideo; not directly fetchable); [Secondary] Gaming Intelligence — 'Germany earns €632 million in Q1 2026 gambling tax' (headline only, Q1-26 corroboration); [Secondary] Trade press — 'Deutschland erzielt 647 Millionen Euro an Glücksspielsteuern im zweiten Quartal 2026' (headline only, Q2-26 corroboration; low-authority site); [Primary] Gemeinsame Glücksspielbehörde der Länder (GGL) — Tätigkeitsbericht 2025 and quarterly Marktmonitor (primary source for market GGR/stakes; figures used here as relayed by trade press — PDFs not retrievable in session); [Primary] Rennwett- und Lotteriegesetz (RennwLottG) — federal tax law: 5.3% stake taxes on sports betting, virtual slots, online poker, horse-race betting; 20% lottery tax (analyst reference; not fetched in session); [Primary] Glücksspielstaatsvertrag 2021 (GlüStV) — product, player-protection, advertising, licensing and evaluation provisions (§§4a–4c, 5, 6c, 8, 9, 22a–22c, 27a, 32) (analyst reference; not fetched in session); [Secondary] Gaming Intelligence — 'ZEAL Network lauds diversification as 9M revenue nears €200 million' (headline only; lottery-brokerage proxy).

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